COURSE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

Shareholders, stakeholders and business ethics

Unit 3: Business decisions and strategy · 3.3.4 Influences on business decisions: shareholders versus stakeholders, business ethics

Revision for Unit 3: Business decisions and strategy: each firm works it out on its own deals.

Class **Pearson Edexcel International A level Business (IAL)**	Topic **Shareholders, stakeholders and business ethics**

THE LESSON

Setup				3 min
Round 1	Decisions 3 min · Deals 5 min · Topic tasks 4 min			
Firm decisions	**Deals**	TASK 1 **Which view of firm**	TASK 2 **Benefits of CSR**	
Round 2	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min			
Firm decisions	**Deals**	TASK 3 **Dividend share**	TASK 4 **CSR and profit**	**B2B deal**
Round 3	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min			
Firm decisions	**Deals**	TASK 5 **Does green pay?**	TASK 6 **Treat the residents**	**B2B deal**
Final questions				3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

The board cuts staff training to pay a higher dividend this year.

Which view of the firm does this follow?

PICK ONE

- ○ Corporate social responsibility
- ○ Paternalistic management
- ✔ **The shareholder view**
- ○ The stakeholder view

Why: Putting the owners' return above other groups is the shareholder view.

Task 2

ROUND 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

Which two benefits are most likely?

PICK TWO

- ✔ **A better local reputation**
- ✔ **Easier to recruit staff**
- ○ Fewer laws to follow
- ○ Higher profit this year
- ○ Lower costs this year

Why: CSR costs money now, but wins goodwill with buyers and job seekers.

Task 3

ROUND 2

Three firms: profit for the year, and the dividends paid.

Order by share of profit paid out, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Profit £150,000, dividends £15,000**
2. **Profit £200,000, dividends £50,000**
3. **Profit £80,000, dividends £40,000**

Why: 10%, 25%, 50%: the rest is kept to invest in the firm.

Task 4

ROUND 2

Road-safety lessons in local schools.

Effect on profit? Minus allowed.

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Cost of the lessons, a year	**£9,000**
Extra sales from goodwill	**6 cars**
Contribution per car	**£1,900**

METHOD

Effect = extra cars × contribution – cost of the lessons

6 × £1,900 – £9,000 = £2,400

Why: CSR costs money now; goodwill must bring sales to pay for it.

Task 5

ROUND 3

A green valeting firm costs £4,500 more a year and wins 4 extra sales, £900 contribution each.

Which choice raises profit on these figures, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Keep the current firm**
- ○ Switch to the green firm

Why: 4 × £900 = £3,600, under the £4,500 extra cost: on these figures it loses £900 a year.

Task 6

ROUND 3

Residents who care about traffic from your new showroom win the council's support.

How should you now treat the residents?

PICK ONE

- ✔ **Consult them closely**
- ○ Ignore them: they have no say
- ○ Send them a newsletter
- ○ Wait for the council to decide

Why: Their interest was high; with the council behind them their power is too.

Final questions

6
questions for each pupil

129
Level 3 Business questions

4
of them on shareholders, stakeholders and business ethics

The game draws 6 of the 129 Level 3 questions; these 4 are about shareholders, stakeholders and business ethics.

1 A legal finance promotion is likely to be misunderstood by vulnerable customers. Which response best supports responsible long-term performance?
Test understanding, show total cost and risks, fix bad incentives.

2 A dealer learns that a contractor manipulated mileage records. Which board response best protects long-term value?
Stop affected sales and investigate independently.

3 A brake fault means a dealer must recall every car of one model it sold. Apart from owners, which stakeholder is most affected?
Workshop staff: weeks of unplanned recall work displacing jobs.

4 A dealer group says it takes a stakeholder approach rather than a shareholder approach. Which statement says what that distinction means?
Stakeholder: weigh every affected group; shareholder: owners' return first.